ECONOMY

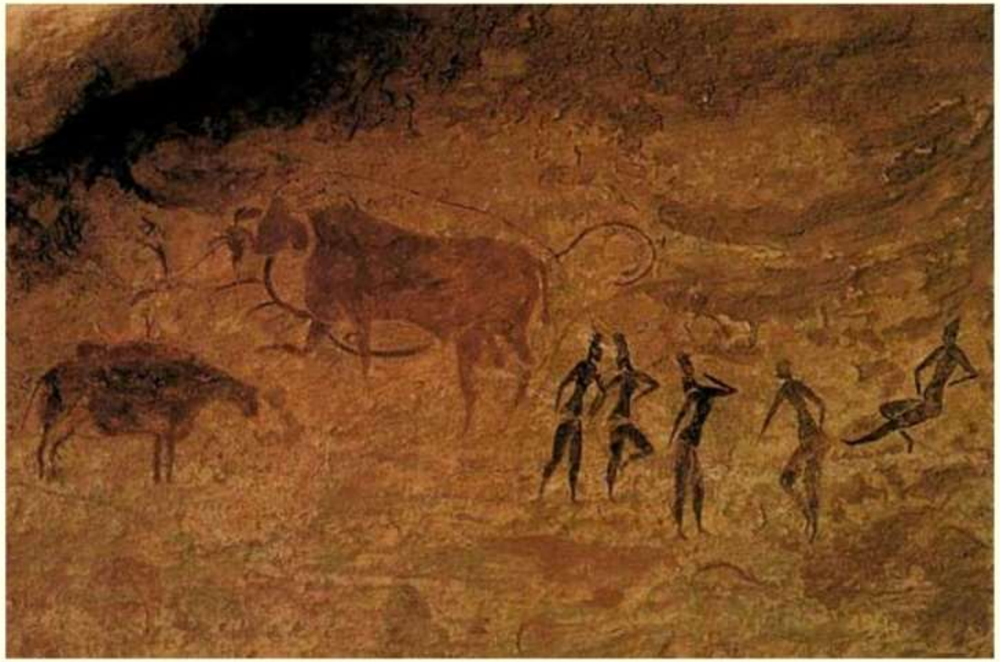
LECTURES

EVOLUTION OF MODERN ECONOMY

MODULE - 1

ECONOMY

PRIMITIVE LIFE TO 18TH CENTURY



ECONOMY

BARTER SYSTEM

Double Coincidence of Wants

Barter system *is possible when there is double coincidence of wants , but with development and options available to the consumers,* ***double coincidence of wants*** *became history*

EXCHANGE OF GOODS

GRAINS

CATTLE

COINS WITH PRECIOUS METALS

ECONOMY

CURRENCY

PAPER NOTES

COINS

MODERN FORMS OF CURRENCY

ECONOMY

INFORMAL SECTOR LOANS

MONEY LENDERS

TRADERS

FRIENDS

- Higher cost of borrowing i.e. Interest rate is very high
- Larger part of the earnings is used to repay the loans
- Some times, people are thrown into debt trap
- In rare cases, it may also lead to bonded labour
- It leads to proliferation of black economy

- Basic trait of under developed countries
- As the countries progress, the share of informal sector in financial system comes down
- Poor are the worst sufferers with informal sector
- We are transitioning from informal towards formal sector since independence

ECONOMY

FORMAL SECTOR LOANS

RBI

भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

BANKS

State Bank of India
THE BANKER TO EVERY INDIAN

बैंक ऑफ़ बड़ौदा
Bank of Baroda
India's International Bank

ICICI Bank

ECONOMY

BANKS

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Bank of Baroda
India's International Bank

ICICI Bank

CO-OPERATIVE BANKS

The Andhra Pradesh State Co-operative Bank Limited
A Government Partnered Scheduled Bank
APCOB

APEX BANK
GSC BANK

ABHYUDAYA CO-OPERATIVE BANK LTD.
(MULTI - STATE SCHEDULED BANK)

ECONOMY

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NBFCs

MANAPPURAM FINANCE LIMITED
Make Life Easy

Muthoot Finance

SHRIRAM Capital
INCLUSIVE GROWTH SINCE 1974

SUNDARAM MUTUAL
UNEARTHING OPPORTUNITIES

BANDHAN

Ujjivan
Build a Better Life

The Andhra Pradesh State Co-operative Bank Limited
A Government Partnered Scheduled Bank
APCOB

ADVANTAGES OF FORMAL SECTOR LOANS

State Bank of India
THE BANKER TO EVERY INDIAN

1. No exploitation in the financial system
2. Things move on as per the law of the land
3. It leads to financial inclusion, if implemented properly
4. The interest rate structure is reasonable and normally affordable
5. Well regulated by the country's financial sector regulators
6. Growth with equity is possible only with formal sector expansion
7. Sectors like agriculture, MSMEs will get due recognition and required emphasis
8. It is inevitable per any developing country towards transition to developed country

DEBTOR AND CREDITOR

CREDITOR

X

DEBTOR FOR X

DEPOSIT

State Bank of India

CREDITOR FOR Y

LOAN

DEBTOR

Y

DEBTOR AND CREDITOR

- *The person who borrows money is debtor*
- *The person who gives money is creditor*

ECONOMY

LEARNING SPACE
...Transforming Human Lives

The Andhra Pradesh State Co-operative Bank Limited
A Government Partnered Scheduled Bank
APCOB

BANKS / NBFCs

State Bank of India
THE BANKER TO EVERY INDIAN

TYPES OF RETAIL LOANS

Agriculture loan

House loan

Vehicle loan

Personal loan

COLLATERAL

COLLATERAL

ASSET

State Bank of India
THE BANKER TO EVERY INDIAN

LOAN

- LENDER
- CREDITOR

- BORROWER
- DEBTOR

COLLATERAL

This is the security given by the borrower while taking the loan

ECONOMY

BANKS / NBFCs

TYPES OF CORPORATE LOANS

Reliance
Industries Limited

LARSEN & TOUBRO

Mahindra

- Term loans
- Working capital loans
- Bridge loans

ECONOMY

HOW CORPORATES GET MONEY FOR ESTABLISHING / EXPANSION ?

Reliance Industries Limited | LARSEN & TOUBRO | Mahindra

BANK LOANS

State Bank of India — THE BANKER TO EVERY INDIAN

बैंक ऑफ़ बड़ौदा Bank of Baroda — India's International Bank

ICICI Bank

DEBENTURES

- Borrowing money from public directly
- These are known as debt instruments

SHARES

- Giving ownership to the public
- These are known as Equity instruments